



Eli Lilly & Company

2Q26 Earnings Preview – Potential Upside from Mounjaro Intl and Growth in US Obesity Market

Heading into LLY's 2Q results (August 5), our estimates are above consensus and we see strong results based on the continued ramp of Mounjaro internationally and healthy growth in the US obesity market. For the qtr, we estimate total sales of \$20.7bn (~\$300mm above cons) and EPS of \$8.85 (+\$0.13). For the year, our estimates are at the high end of LLY's 2026 guidance with sales of \$85.0bn (vs \$82-\$85bn guide, inline with cons) and EPS of \$36.60 (vs \$35.50 - \$37.00 guide). This is driven by the ramp of the intl obesity business as well as the uptake of Zepbound in Medicare and we would not be surprised to see LLY again raise its 2026 sales/EPS guidance.

More broadly on the story, LLY remains our top pick with further upside to Street numbers over the next several years (especially ex-US) as well as a series of upcoming catalysts which we expect will extend LLY's leadership position in the \$200bn+ incretin market. On clinical catalysts, we see data from the elora + tirzepatide as most impactful (EASD in late Sept) where abstract data suggests very impressive efficacy at 16-32 weeks (tolerability data pending) and this product, combined with recent retatrutide phase 3 results as well as strong monotherapy eloralintide data, sets up LLY with a range of next-generation programs to improve upon Zepbound's current best in class profile. We increase our Dec-26 PT to \$1,400 (from \$1,300 prior), based on our updated DCF methodology. Reiterate OW.

- **We are above the Street on 2Q with sales of \$20.7bn and EPS of \$8.85.** This reflects YoY growth of +33% driven by +50% growth in the GLP-1 business (+\$110mm vs cons for Zepbound/Mounjaro). On the non-incretin business, we see more modest growth as Verzenio/Taltz face competitive pressure and pricing headwinds in Medicaid (MFN-related).
- **Below the top-line, we forecast continued OpM expansion despite some GM contraction.** On the gross margin front, we are expecting ~180bps of contraction YoY largely driven by slack in the mfg infrastructure returning to normal levels and by lower pricing in the incretin business. This is more than offset by scale in opex, and thus we see OpM expanding to ~47.5% (+160bps vs 2Q25 ex-IPR&D). Overall, this leads to EPS of \$8.85 for the qtr.
- **Looking at the full year, we are at the high end of LLY's 2026 guidance and would not be surprised to see LLY again raise its targets.** We estimate sales of \$85.0bn (inline with cons, guide of \$82bn-\$85bn) and EPS of \$36.60 (+\$0.27 vs cons, guide of \$35.50-\$37.00). We see Mounjaro international as a continued source of upside to consensus/guidance while in the US, we believe there is some potential upside from the ramp of Zepbound in Medicare (began July 1). At the same time, we are modestly below consensus on Foundayo in 2026 (but above over time). And to the extent that we see top-line upside, we would anticipate this to largely fall to the bottom-line.
- **Mounjaro international sales are again a potential source of upside.** Consensus reflects a far slower sequential ramp in qtrly sales vs recent quarters (~\$200mm in sequential growth/qtr for the remainder of the year vs \$1bn/qtr of sequential growth over the past year). While LLY has already captured 50%+ share of the ex-US market, the product's ramp remains in its

Overweight

LLY, LLY US

Price (06 Jul 26):\$1,200.06

▲ **Price Target (Dec-26):\$1,400.00**

Prior (Dec-26):\$1,300.00

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J.P. Morgan Securities LLC

Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (\$ mn)	84,919	85,050	0.2%
Adj. EPS - 26E (\$)	36.50	36.60	0.3%
Adj. EPS - 27E (\$)	46.59	47.01	0.9%

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2025A	2026E	2027E
Q1	3.34	8.55A	
Q2	6.31	8.85	
Q3	7.02	9.37	
Q4	7.54	9.82	
FY	24.20	36.60	47.01

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	61	61	72	67	58
Growth	1	19	66	75	22
Momentum	40	38	50	30	28
Quality	19	18	19	9	11
Low Vol	16	15	13	6	13
ESGQ	48	54	35	16	34

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	11.7%	6.1%	29.4%	53.7%
Rel	1.6%	4.0%	15.4%	32.7%

Company Data

Shares O/S (mn)	906
52-week range (\$)	1,238.00-623.78
Market cap (\$ mn)	1,087,674.00
Exchange rate	1.00
Free float (%)	90.1%
3M ADV (mn)	3.25
3M ADV (\$ mn)	3,364.4
Volatility (90 Day)	37
Index	S&P 500
BBG ANR (Buy Hold Sell)	29 6 1

Key Metrics (FYE Dec)

\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	65,179	85,050	101,195	116,623
Adj. EBITDA	28,213	42,519	53,577	63,681
Adj. EBIT	27,273	40,483	51,316	61,108
Adj. net income	21,767	32,733	42,035	50,329
Adj. EPS	24.20	36.60	47.01	56.23
BBG EPS	23.36	36.38	44.41	51.68
Cashflow from operations	16,813	36,097	38,971	48,792
FCFF	8,972	29,597	32,471	42,292
Margins and Growth				
Revenue Growth Y/Y (%)	44.7%	30.5%	19.0%	15.2%
EBITDA margin	43.3%	50.0%	52.9%	54.6%
EBITDA Growth Y/Y (%)	78.6%	50.7%	26.0%	18.9%
EBIT margin	41.8%	47.6%	50.7%	52.4%
Net margin	33.4%	38.5%	41.5%	43.2%
Adj. EPS growth	86.3%	51.2%	28.5%	19.6%
Ratios				
Adj. tax rate	18.4%	18.0%	17.0%	17.0%
Interest cover	43.9	49.8	61.5	94.8
Net debt/Equity	1.3	0.3	NM	NM
Net debt/EBITDA	1.2	0.4	NM	NM
ROCE	38.1%	41.0%	38.6%	34.0%
ROE	106.7%	88.2%	65.7%	50.2%
Valuation				
FCFF yield	0.8%	2.8%	3.0%	3.9%
Dividend yield	-	-	-	-
EV/Revenue	17.2	13.0	10.7	9.0
EV/EBITDA	39.8	26.0	20.2	16.4
Adj. P/E	49.6	32.8	25.5	21.3

Summary Investment Thesis and Valuation

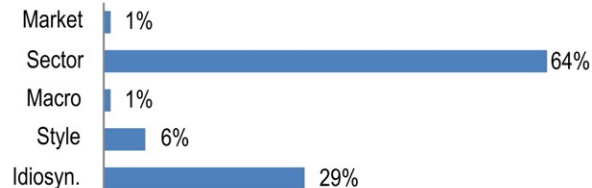
Investment Thesis

LLY remains one of our favorite names in the group, as we see the company positioned for further upside to estimates driven by Zepbound and Mounjaro, while the launch of orforglipron (small molecule oral GLP-1) provides another leg of upside to the story. Along these lines, we see a highly attractive business generating low-teens top-line / high-teens EPS growth through at least the early 2030s with limited LOE risk over the next 10+ years. Remain OW.

Valuation

Our Dec 2026 price target of \$1,400 is based on a DCF methodology, as we believe this best captures the overall value of these businesses. For our Lilly DCF, we take the present value of cash flows within our forecast window and thereafter wind down the existing-products business while including risk-adjusted contributions from pipeline assets. We use a WACC of 8.5%, on par with our other pharma DCF models, and a 2.5% terminal growth rate reflecting our favorable view of LLY's pipeline.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.24	0.10
Sect: Health Care	0.80	0.80
Ind: Pharma, Bio, Life Sci	0.83	0.86
Macro:		
US 10yr Breakeven	-0.17	-0.24
US 10yr yield	-0.25	-0.12
US Dollar	0.06	-0.07
Quant Styles:		
Momentum	0.02	-0.20
DivYld	0.25	0.19
LowVol	0.38	0.18

early stages and we see a continued runway for outperformance for the product with global penetration rates still in the single digits. We forecast 2Q intl Mounjaro sales of \$4.6bn (which we believe is a conservative assumption) and \$18.7bn for 2026.

- **In the US, Mounjaro (for T2D) continues to gain share, offsetting slightly lower than expected market growth.** US Mounjaro's share grew to ~55% in 2Q (+270 bps QoQ) while the market overall grew ~10% YoY (vs ~13.5% in 1Q). Together, we forecast WW Mounjaro sales of \$8.9bn in 2Q and \$36.8bn for FY26. Additionally, we will look for additional color on Mounjaro Medicare pricing dynamics in 2027, which could provide some upside to ests (as the CMS's BRIDGE program for Zepbound will now run to end of 2027, potentially delaying lower price dynamics for Mounjaro with Part D Plan sponsors).
- **Our US Zepbound ests are above cons as injectable mkt growth remains healthy.** For the qtr, we est sales of \$4.7bn (+\$140mm vs cons) driven by market TRx growth of nearly +90% YoY. We expect Zepbound pricing to stay relatively consistent QoQ at \$540/Rx (ex est ~\$30/Rx of 1x 1Q favorability) with the cash pay channel again accounting for ~45% of Zepbound TRx (same as 1Q). In 2H, we factor in greater Zepbound price erosion (offset by volume gains) with Medicare pricing at \$245/Rx as well as some pricing headwinds from the CVS formulary inclusion (starting Oct 1) and assume pricing declines to ~\$490/Rx by 4Q.
- **We expect minimal contribution from Foundayo in 2Q with a greater ramp heading into 4Q.** For the qtr, we est sales of \$100mm (including modest stocking benefits) and will look for additional color on the launch (e.g., the number of patients on drug inclusive of samples - not captured in Iqvia TRx) as well on promotional efforts. Overall, we expect Foundayo will steadily ramp throughout the year and we see a more significant ramp/upside to ests in 2027+ with a full-scale launch in 40+ international markets.

Investment Thesis, Valuation and Risks

Eli Lilly & Company (*Overweight; Price Target: \$1,400.00*)

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Valuation

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Risks to Rating and Price Target

Downside risks to our Overweight rating and price target include lower-than-expected growth for LLY's diabetes and obesity franchise, competitive pressures, federal regulation including more-severe-than-expected pricing pressure from the Inflation Reduction Act, and major pipeline failures.

Eli Lilly & Company: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E	
Revenue	45,043	65,179	85,050	101,195	116,623	Revenue	19,799A	20,713	21,555	22,983	
COGS	(7,865)	(10,564)	(14,500)	(17,709)	(20,409)	COGS	(3,449)A	(3,480)	(3,664)	(3,907)	
Gross profit	37,178	54,615	70,550	83,486	96,214	Gross profit	16,350A	17,233	17,891	19,076	
SG&A	(8,594)	(11,095)	(13,046)	(14,089)	(15,217)	SG&A	(2,934)A	(3,249)	(3,261)	(3,602)	
Adj. EBITDA	15,796	28,213	42,519	53,577	63,681	Adj. EBITDA	10,333A	10,825	11,378	11,864	
D&A	(1,483)	(940)	(2,036)	(2,261)	(2,572)	D&A	(1,011)A	(977)	(977)	(952)	
Adj. EBIT	14,313	27,273	40,483	51,316	61,108	Adj. EBIT	9,322A	9,848	10,401	10,912	
Net Interest	(605)	(642)	(853)	(871)	(672)	Net Interest	(253)A	(200)	(200)	(200)	
Adj. PBT	14,133	26,668	39,939	50,645	60,637	Adj. PBT	9,178A	9,723	10,276	10,762	
Tax	(2,386)	(4,902)	(7,206)	(8,610)	(10,308)	Tax	(1,515)A	(1,799)	(1,901)	(1,991)	
Minority Interest	0	0	0	0	0	Minority Interest	0A	0	0	0	
Adj. Net Income	11,747	21,767	32,733	42,035	50,329	Adj. Net Income	7,663A	7,924	8,375	8,771	
Reported EPS	12.99	24.20	36.60	47.01	56.23	Reported EPS	8.55A	8.85	9.37	9.82	
Adj. EPS	12.99	24.20	36.60	47.01	56.23	Adj. EPS	8.55A	8.85	9.37	9.82	
DPS	-	-	-	-	-	DPS	-	-	-	-	
Payout ratio	-	-	-	-	-	Payout ratio	-	-	-	-	
Shares outstanding	904	899	894	894	895	Shares outstanding	896A	895	894	893	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,268	7,268	28,878	55,357	91,001	Gross margin	82.5%	83.8%	83.0%	82.5%	82.5%
Accounts receivable	13,275	20,155	20,412	23,275	25,657	EBITDA margin	35.1%	43.3%	50.0%	52.9%	54.6%
Inventories	7,589	13,744	13,608	15,179	16,327	EBIT margin	31.8%	41.8%	47.6%	50.7%	52.4%
Other current assets	8,607	14,462	14,458	16,191	17,493	Net profit margin	26.1%	33.4%	38.5%	41.5%	43.2%
Current assets	32,740	55,629	77,356	110,002	150,478	ROE	93.5%	106.7%	88.2%	65.7%	50.2%
PP&E	17,102	24,675	29,448	33,886	38,014	ROA	16.5%	22.8%	26.2%	27.1%	25.8%
LT investments	3,216	2,802	2,802	2,802	2,802	ROCE	28.3%	38.1%	41.0%	38.6%	34.0%
Other non current assets	25,657	29,370	27,716	26,671	25,651	SG&A/Sales	19.1%	17.0%	15.3%	13.9%	13.0%
Total assets	78,715	112,476	137,322	173,362	216,946	Net debt/equity	2.1	1.3	0.3	NM	NM
Short term borrowings	5,117	1,635	1,635	1,635	1,635	P/E (x)	92.4	49.6	32.8	25.5	21.3
Payables	3,229	5,379	6,549	7,590	8,514	P/BV (x)	76.0	40.7	22.5	13.4	8.9
Other short term liabilities	20,031	28,214	28,214	28,214	28,214	EV/EBITDA (x)	70.8	39.8	26.0	20.2	16.4
Current liabilities	28,377	35,228	36,398	37,439	38,363	Dividend Yield	-	-	-	-	-
Long-term debt	28,527	40,868	43,368	45,868	48,368	Sales/Assets (x)	0.6	0.7	0.7	0.7	0.6
Other long term liabilities	7,540	9,845	9,845	9,845	9,845	Interest cover (x)	26.1	43.9	49.8	61.5	94.8
Total liabilities	64,443	85,941	89,611	93,152	96,576	Operating leverage	323.6%	202.5%	158.9%	141.0%	125.2%
Shareholders' equity	14,272	26,535	47,711	80,210	120,370	Revenue y/y Growth	32.0%	44.7%	30.5%	19.0%	15.2%
Minority interests	-	-	-	-	-	EBITDA y/y Growth	88.8%	78.6%	50.7%	26.0%	18.9%
Total liabilities & equity	78,715	112,476	137,322	173,361	216,945	Tax rate	16.9%	18.4%	18.0%	17.0%	17.0%
BVPS	15.79	29.51	53.34	89.71	134.47	Adj. Net Income y/y Growth	105.6%	85.3%	50.4%	28.4%	19.7%
y/y Growth	31.3%	86.9%	80.8%	68.2%	49.9%	EPS y/y Growth	105.5%	86.3%	51.2%	28.5%	19.6%
Net debt/(cash)	30,376	35,235	16,125	(7,854)	(40,998)	DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	8,818	16,813	36,097	38,971	48,792						
o/w Depreciation & amortization	1,767	1,997	1,727	2,061	2,372						
o/w Changes in working capital	(5,385)	(8,093)	1,052	(5,126)	(3,909)						
Cash flow from investing activities	(9,302)	(10,972)	(7,084)	(6,500)	(6,500)						
o/w Capital expenditure	(5,058)	(7,841)	(6,500)	(6,500)	(6,500)						
as % of sales	11.2%	12.0%	7.6%	6.4%	5.6%						
Cash flow from financing activities	1,230	(2,213)	(7,403)	(5,991)	(6,648)						
o/w Dividends paid	(4,680)	(5,384)	(5,903)	(6,491)	(7,148)						
o/w Net debt issued/(repaid)	8,901	8,051	2,500	2,500	2,500						
Net change in cash	450	4,000	21,609	26,479	35,644						
Adj. Free cash flow to firm	3,760	8,972	29,597	32,471	42,292						
y/y Growth	374.5%	138.6%	229.9%	9.7%	30.2%						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Eli Lilly & Company (LLY, LLY US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
28-Jul-23	OW	454.99	510
08-Aug-23	OW	454.08	600
02-Nov-23	OW	554.46	650
06-Feb-24	OW	706.20	775
15-Mar-24	OW	760.73	850
30-Apr-24	OW	737.20	900
11-Jul-24	OW	939.78	1,000
08-Aug-24	OW	772.14	1,050
13-Sep-24	OW	935.02	1,100
16-Sep-25	OW	748.19	1,050
18-Nov-25	OW	1021.70	1,150
04-Feb-26	OW	1003.46	1,300

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 08, 1997. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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